

PROJECT

FORESIGHT

Demand & Inventory Intelligence

Executive readout

For the Head of Operations and the Finance lead

Plan week beginning 2025-12-22 · 8-week forecast horizon · 50 products

What follows is a forecast of demand for every product you stock, an assessment of which products are about to run out and which are tying up cash, and what each of those is worth in rupees.

10 September 2026

What this is worth, and what to do

SALES AT RISK

₹ 30.75 L

5 products will likely run out within the horizon

CAPITAL LOCKED IN OVERSTOCK

₹ 71.87 L

8 products are holding more than 12 weeks of cover

The two figures are separate, and should not be added together.

Sales at risk is revenue that may not happen. Capital locked is cash you have already spent and cannot use until the stock sells. They call for different actions and different owners.

RECOMMENDED ACTIONS

Raise replenishment orders

Protects ₹ 30.74 L of sales.

5 products · 585 units

Promote or discount to clear

Frees ₹ 71.87 L of working capital.

8 products · 2,896 excess units

Review manually

Demand too erratic to forecast confidently. A person should decide.

0 products

Leave alone

Stock covers forecast demand without excess. No action needed.

37 products

Where to start: the ten largest exposures account for 100% of all sales at risk.

How accurate the forecast is

We tested the forecast the way you would actually use it: standing at a date in the past, using only what was known then, forecasting the next eight weeks, and comparing against what really happened. Repeated six times across the last year.

AVERAGE FORECAST ERROR

9.0%

of total demand, across 9,600 product-weeks

BETTER THAN THE SIMPLE RULE

24%

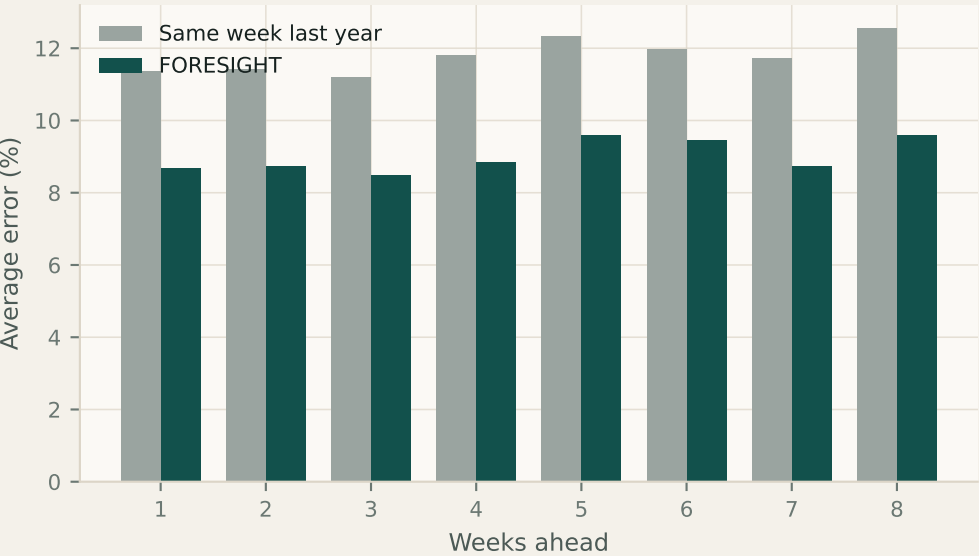
vs 11.8% for 'same week last year'

SYSTEMATIC BIAS

+1.8%

vs +1.1% for the simple rule

Error stays flat across the horizon

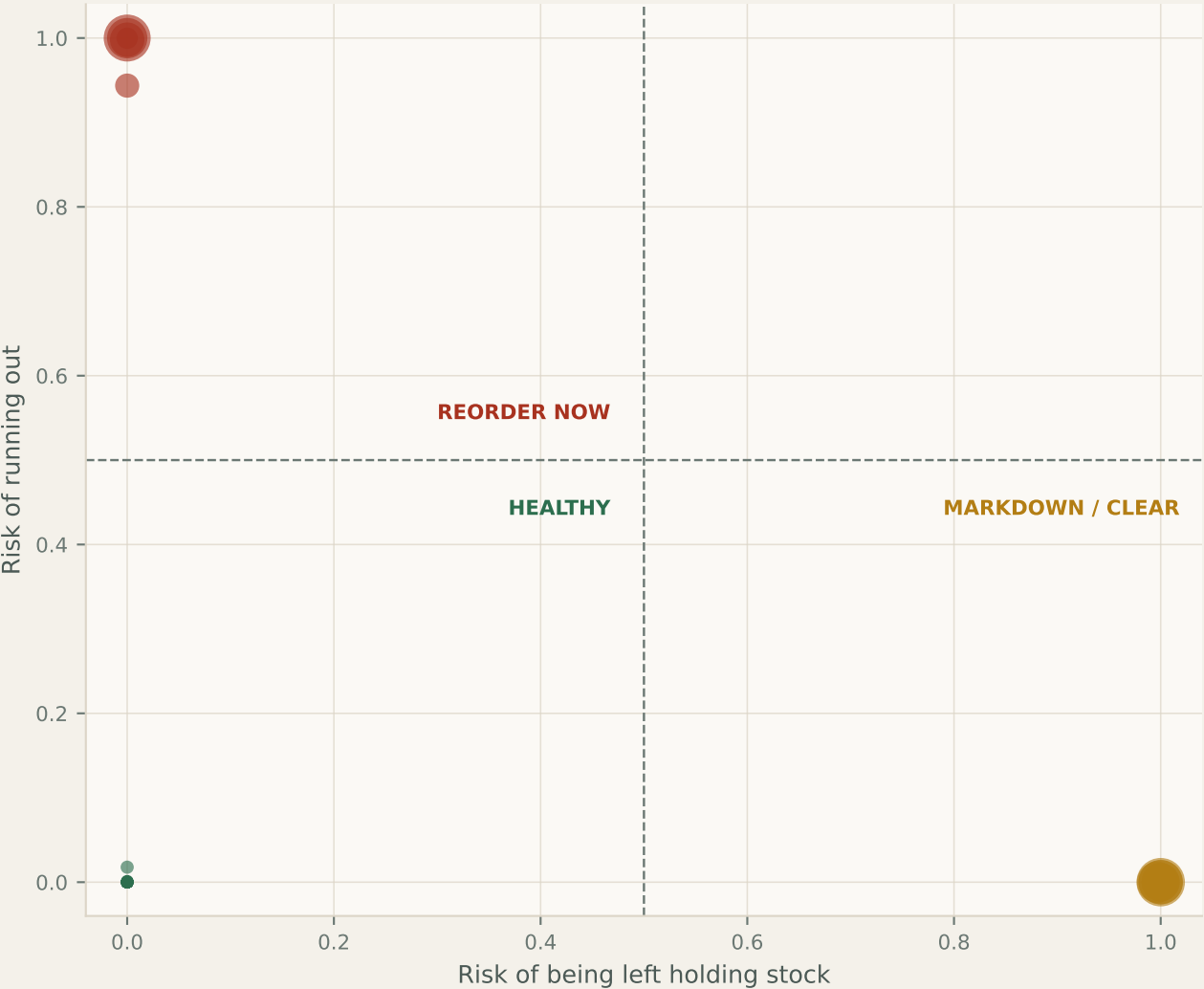


What the bias number means

A forecast can look accurate on average while being consistently too low. 'Same week last year' runs 18% light every week, because your business is growing — which quietly guarantees stockouts.

Our forecast runs 2% light. That difference matters more to your reorder decisions than the headline accuracy number does.

Which products need attention



How to read this

Every circle is one product. Its size is what it is worth in rupees.

Higher up → more likely to run out before your next delivery arrives.

Further right → more likely that three months of sales still will not clear the stock you hold.

Bottom-left is where a product should be: enough stock to cover demand, no more.

● Reorder now	5
● Markdown / clear	8
● Watch / review	0
● Healthy	37

Order these before they run out

The 5 largest exposures. Ordering the quantities below covers forecast demand over each product's lead time plus a safety buffer, at a 95% service level.

PRODUCT	CATEGORY	STOCK COVER	ORDER QTY	SALES AT RISK
SKU012	Decor	0.6 wks	232	₹ 16.91 L
SKU031	Unclassified	1.0 wks	144	₹ 8.65 L
SKU017	Decor	1.2 wks	78	₹ 4.16 L
SKU040	Storage & Organisation	0.9 wks	57	₹ 69,605
SKU010	Storage & Organisation	1.3 wks	74	₹ 32,809

These 5 orders total 585 units and protect ₹ 30.74 L of sales.

Clear these to free up cash

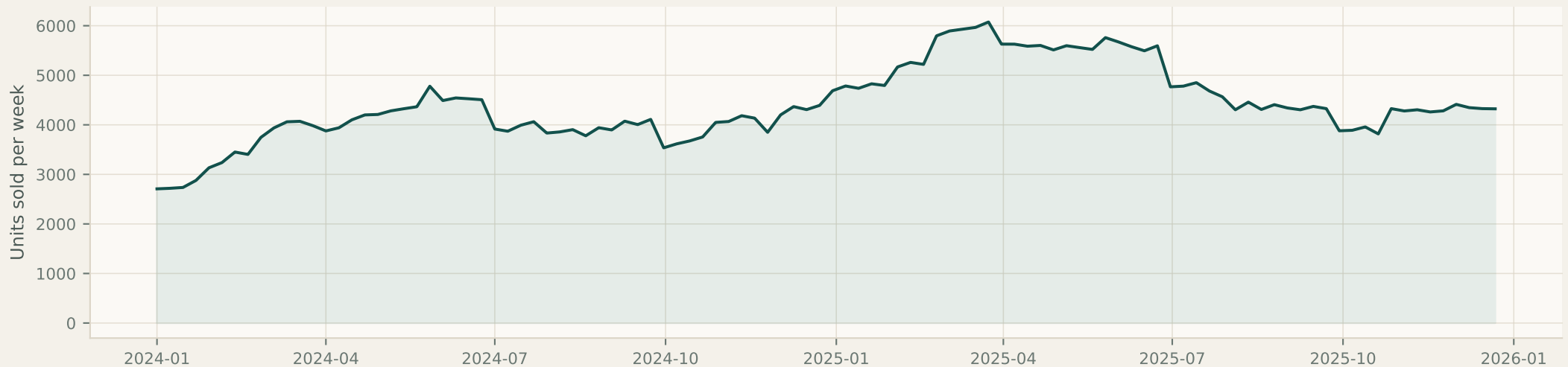
The 8 largest pools of trapped cash. Excess is stock beyond what twelve weeks of forecast demand will absorb, valued at what you paid for it.

PRODUCT	CATEGORY	STOCK COVER	EXCESS UNITS	CASH LOCKED
SKU006	Unclassified	19 wks	322	₹ 19.39 L
SKU011	Unclassified	48 wks	769	₹ 13.21 L
SKU025	Storage & Organisation	64 wks	963	₹ 12.84 L
SKU020	Storage & Organisation	13 wks	139	₹ 9.31 L
SKU036	Unclassified	16 wks	119	₹ 6.46 L
SKU015	Storage & Organisation	16 wks	118	₹ 6.42 L
SKU050	Storage & Organisation	20 wks	337	₹ 2.37 L
SKU004	Lighting	16 wks	129	₹ 1.87 L

Clearing these would release ₹ 71.87 L of working capital.

Three things worth knowing

Demand is strongly seasonal — the festive peak is most of the year



- 1. The festive peak is 2.2x the quietest week.**
 Planning to an annual average guarantees stocking out in October and sitting on stock in April. Any reorder rule has to follow the season.
- 2. A small number of products carry most of the money.**
 The ten largest exposures account for 100% of all sales at risk. Attention should be rationed accordingly.
- 3. Your data has fixable problems at source.**
 The sales export omits zero-sale days entirely, the same sale can appear twice in different formats, and lead times include impossible values. We corrected all of these, but fixing them upstream would make every future refresh more reliable.

What this does not do

Average error is 9% of demand. That is good for weekly product-level forecasting and much better than the alternative, but it is not precision. Treat the numbers as a prioritised starting point, not an instruction.

The forecast is wrong by about a quarter, on average.

Slow-moving products are forecast much worse than fast ones.

Products that sell nothing in most weeks have error well above 100%. They are flagged separately rather than hidden in the average, and are the least reliable part of the list.

When a product was out of stock, the sale simply does not appear in your data. Recorded demand is therefore a floor, and stockout risk is if anything understated for the products that run out most often.

We cannot see demand you never captured.

Stock positions are weekly snapshots, not live.

Recommendations are based on the position as of the last snapshot. Anything that moved since then is not reflected.

The stated 80% range contains the outcome 82% of the time in testing. It assumes forecast errors do not persist week to week; in practice they somewhat do, so the true range is slightly wider than shown.

The uncertainty range is honest but assumes weeks are independent.

Our recommendations

NOW

Work the reorder list top-down.

The ten largest exposures cover 100% of the sales at risk. Ten calls capture almost all of the recoverable value.

NOW

Agree a markdown plan for the dead stock.

Several products hold years of cover at current demand. They will not recover on their own, and every week they sit costs warehouse space and cash.

THIS MONTH

Fix the three data problems at source.

Export zero-sale days, de-duplicate re-runs, and validate lead times on entry. Each one currently has to be repaired every time the pipeline runs.

THIS QUARTER

Re-run this monthly and track whether it is still right.

The pipeline re-runs from raw files with one command. Compare each month's forecast against what happened; if average error drifts above 35%, the model needs retraining.

LATER

Feed planned promotions in earlier.

Promotion dates are already used where the calendar has them. The further ahead they are confirmed, the more accurate the festive forecast becomes.

The dashboard and the scoring service are live and yours to use without us.